

Purchase Agreement in D365 F&O

In Dynamics 365 Finance and Operations a purchase agreement is the promise to buy a given quantity or value of a specific product or category from a specific vendor. Purchase agreements often come with associated discounts for agreeing to buy a specific quantity or value so those can be established as well on a purchase agreement. Purchase agreements also allow you to track the fulfillment of these agreements over time.

There is often confusion between trade agreements and purchase agreements, so I'll make that clear now. In Dynamics 365 Finance and Operations a trade agreement is just a price or a discount. While a purchase agreement can include prices or discount, it also constitutes an agreement to purchase a certain quantity or value from a vendor over a given period.

In this post we will go through the setup required for purchase agreements as well as how to process a purchase agreement and then track the progress of the fulfillment.

Purchase Agreement Setup

The only configuration required to use purchase agreements is the "Purchase agreement classification" setup. The purchase agreement classification is primarily used to classify the type of purchase agreement you are creating. However, it does have some fields related to public sector finance that are available but not relevant for most businesses.

To create a purchase agreement, navigate to **Procurement and sourcing > Setup > Purchase agreement classification**. Click the "New" button and in the "Name" field give the classification a name. In the "Description" you can give the classification a longer descriptive name.

In the "General" fast tab you have some fields that are primarily for public sector finance but are still available if you need to use them.

- **Subcontractors** – This indicates that this type of purchase agreement will have subcontractors. You can create a purchase agreement for the primary contractor and subcontractor and link them with a parent-child relationship.
- **Certifications** – This is an optional reporting field that allows you to track compliance with vendor certifications.
- **Require direct invoicing** – This option prevents releasing orders.
- **Agreement classification category** – This is a system defined agreement classification category. Currently there is one value, "Default".
- **Line matching policy** – This allows you to define the line matching policy for purchase orders released against this purchase agreement.
- **Primary responsible worker** – This allows you to optionally define a primary responsible person for this type of purchase agreement.
- **Secondary responsible worker** – This allows you to optionally define a secondary responsible person for this type of purchase agreement.

Purchase Agreement in D365 F&O

Finance and Operations | Procurement and sourcing > Setup > Purchase agreement classification

Blanket PO
Blanket purchase agreement
BPO
Blanket PO
Employee Purchases

Name	Description
Blanket PO	Blanket PO

General

Subcontractors ☐ No	Require direct invoicing ☐ No	Agreement classification category Default	Primary responsible worker
Certifications ☐ No	Activities ☐ No	Line matching policy Three-way matching	Secondary responsible worker

Creating a Purchase Agreement

To create a purchase agreement, navigate to **Procurement and sourcing > Purchase agreements > Purchase agreements**

Finance and Operations

Engineering change management
Expense management
Fixed assets
Fleet management
General ledger
Human resources
Inventory management
Landed cost
Master planning
Organization administration
Payroll
Procurement and sourcing
Product information management

Expand all Collapse ...

> Workspaces

> Purchase orders

> Purchase requisitions

> Requests for quotations

> Vendors

> Catalogs

> Prices and discounts

▼ Purchase agreements

Purchase agreements

Purchase agreement fulfillment report

> Vendor rebates

> Consignment

Procurement categories

Click the “New” button and select the vendor account that this purchase agreement will apply to. In the “Vendor reference” field you can enter a reference number or code that may reference the purchase agreement in the vendor’s system. In the “Document title” field you can enter a free text description of the purchase agreement.

Purchase Agreement in D365 F&O

Standard view ▾

Create purchase agreement

Vendor account
1003 ▾

Name
Ade Supply Company

Contact
▾

DELIVERY ADDRESS

Delivery name	Address
Xtho	Holtsville, NY 00501

Delivery address
Xtho ▾  

DOCUMENT

Purchase agreement classification
Blanket PO ▾

Next scroll down and select the “Default commitment” which is basically the type of commitment the purchase agreement will define. There are four types of commitments:

- **Product quantity** – This option is where you promise to purchase a specific quantity of a product over the life of the purchase agreement.
- **Product value commitment** – This option is where you promise to purchase a specific value of a product regardless of physical quantity of the product received.
- **Product category value commitment** – This option is where you promise to purchase a specific value from a procurement category.
- **Value commitment** – This option is where you promise to purchase a specific value from the vendor regardless of category or product.

You can also set the effectivity dates of the agreement by setting the “Effective date” and “Expiration date”. Next click the “Ok” button to create the purchase agreement.

Purchase Agreement in D365 F&O

General PurAgreement-043 -- ^

VENDOR

Vendor reference

Invoice account
1003

Currency
CAD

DEFAULT VALIDITY PERIOD

Effective date
12/9/2025

Expiration date
12/31/2026

DOCUMENT

Purchase agreement
PurAgreeme...

Document title

External document reference

Default commitment
Product value commitment

Product quantity commitment

Product value commitment

Product category value commitment

Value commitment

Project ID

Now we can start to enter the purchase agreement lines. Click the “Add line” button to add a purchase agreement line. Now in the “Item number” field enter the part number that the agreement is for. Next define the “Site” and “Warehouse” dimensions where the agreement should apply. If the agreement applies to all sites and warehouses, you can leave it blank and populate them in the released purchase order.

This purchase agreement has a “Default commitment” set to “Product quantity commitment” which means the agreement is based on quantity. So next we will need to define the quantity that we will commit to purchasing this specific product. Enter this quantity in the “Quantity” field. Typically purchase agreements come with special pricing or discounts. Next enter the “Discount percent” or the special pricing in the “Unit price” field.

If the “Expiration date” is different than the header expiration date you can override the agreement expiration date for this line, otherwise you can leave it alone. Down in the “Line details” fast tab in the “General” tab there is field called “Max is enforced”. If your purchase agreement is tightly enforced, you can select this option to ensure that there are no releases against this purchase agreement that breach the quantity or amount agreed upon.

Purchase agreements | Standard view ^

PurAgreement-043 : 1003 - Ade Supply Company

Lines Header

Purchase agreement header

Default commitment
Product value commitment

Currency
CAD

Effective date
12/9/2025

Expiration date
12/31/2026

Status
On hold

Purchase agreement lines

+ Add line Remove Budget reservation lines Related information General

Item number	Item/Category name	Procurement cate...	Site	Warehouse	Quantity	Unit	Net amount	Discount p...	Unit price	Expiration date
P-0000010	Installation Services		4	41	100,000.00	0.00	100,000.00	0.00	0.00	12/31/2026

Line details

General Price and discount Fulfillment Project Financial dimensions Product dimensions

VALIDITY PERIOD

Validity period for
Requested delivery d...

Effective date
12/9/2025

Expiration date
12/31/2026

Lead time
0

Working days
No

COMMITMENT

Items/Category name
Installation Services

Max is enforced
Yes

General budget reservation applies
No

RELEASE LIMIT

Minimum release amount
0.00

Maximum release amount
0.00

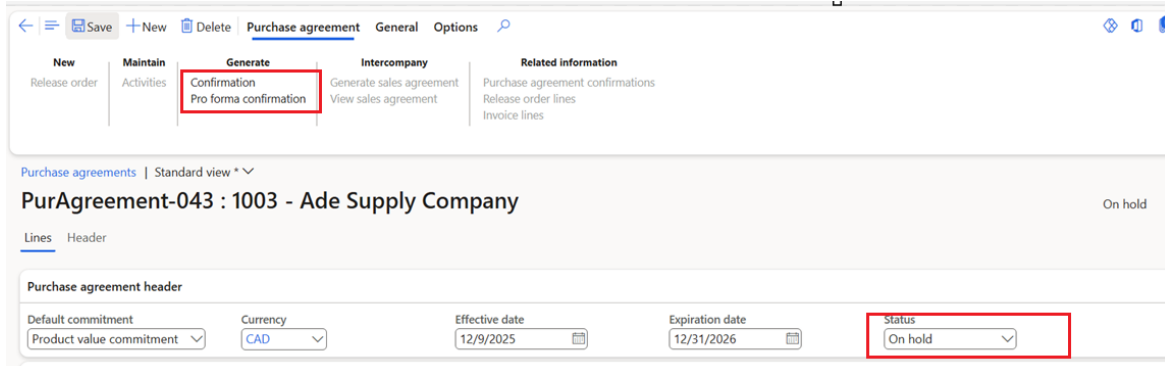
INTERCOMPANY

Origin

Purchase Agreement in D365 F&O

You can repeat this process until you have all the lines of the purchase agreement. Then when you have the purchase agreement completed, the next step is to activate the purchase agreement. You'll note that the "Status" is currently set to "On hold". This means that right now the purchase agreement is not active, and no releases can be made against this purchase agreement.

We need to activate the purchase agreement. To do this click the "Confirmation" button.



On the fly out form click the "Mark agreement as effective" and click the "OK" button.

Standard view ✓
Confirm purchase agreement

Purchase agreement confirmation
PurAgreement-043-1

PARAMETERS

Mark agreement as effective
☒ Yes

PRINT OPTIONS

Print report
☐ No

Use print management destination
☐ No

CURRENT PRINT DESTINATION

Printer

Print destination

Screen

Destinations ...

Print setup Electronic reporting

Now you will notice that the "Status" has changed to "Effective". Now we are ready to start releasing orders from the purchase agreement.

Purchase Agreement in D365 F&O

Purchase agreements | Standard view * ▾

PurAgreement-043 : 1003 - Ade Supply Company Effective

Lines Header

Purchase agreement header

Default commitment: Product value commitment ▾ Currency: CAD ▾ Effective date: 12/9/2025 📅 Expiration date: 12/31/2026 📅 Status: Effective ▾

Purchase agreement lines

+ Add line Remove Budget reservation lines ▾ Related information ▾ General ▾

Item number	Item/Category name	Procurement cate...	Site	Warehouse	Quantity	Unit	Net amount	Discount p...	Unit price	Expiration date
P-0000010	Installation Services		4	41			100,000.00	0.00	0.00	12/31/2026 📅

Release a Purchase Agreement

The next step with purchase agreements is to start releasing them from the purchase agreements. You can release certain quantities or amounts directly from the purchase agreement, or you can create the purchase order and link it to the purchase agreement at the time the purchase order is created. I will show you both ways.

To release quantities or amounts directly from the purchase agreement click the “Release order” button.

Below is standard behavior in case we have Quantity commitment

← ≡ Save + New Delete Purchase agreement General Options 🔍

New Maintain Generate Intercompany Related information

Release order Activities Confirmation Pro forma confirmation Generate sales agreement View sales agreement Purchase agreement confirmations Release order lines Invoice lines

Purchase agreements | Standard view * ▾

PurAgreement-043 : 1003 - Ade Supply Company

Lines Header

On the “Create release order” form specify the quantity you would like to release from the purchase agreement. Then click the “Create” button.

Purchase Agreement in D365 F&O

Create release order

Prepare the header of the release order in the upper section of this form. If the agreement has quantity commitments, you can prepare the lines for the release order in the lower section of this form. If the agreement has value commitments, you must enter such order lines after you have created the release order.

Address

DELIVERY ADDRESS

Name: Contoso Entertainment Syste...
Delivery address: Contoso Entertainment Sys...
Address: 123 Coffee Street
Suite 300
Redmond, WA 98052
USA

Display dimensions

	Item number	Product name	Variant number	Purchase quantity	Unit	Delivery date	Site	Warehouse
☒	Z001	Test Product1		100.00	ea	7/29/2021	2	24

Create **Cancel**

You will get an information log that tells you the purchase order number. To go straight to the purchase order, click the “Release order lines” button.

Save + New Delete Purchase agreement General Options

New Maintain Generate Intercompany Related information
Release order Activities Confirmation Generate sales agreement Purchase agreement confirmations
Pro forma confirmation View sales agreement Release order lines Invoice lines

Create purchase order Automatic purchase creation Vendor account: V000076 Purchase order 00001441 has been created.

Purchase agreements | Standard view * v

000177 : V000076 - General Supply Vendor Lines Header Effective

Purchase agreement header

Default commitment: Product quantity commitm...
Effective date: 7/27/2021
Status: Effective
Currency: USD
Expiration date: 7/27/2022

Purchase agreement lines

+ Add line Remove Related information General

	Item number	Item/Category name	Procurement category	Site	Warehouse	Quantity	Unit	Net amount	Dis
☒	Z001	Test Product1		2	24	1,000.00	ea	23,000.00	

Purchase Agreement in D365 F&O

This form shows you all the released lines against this purchase agreement. From here you can drill into any of the purchase orders created by clicking on the purchase order ID hyperlink.

Purchase order	Line number	Item number	Procurement category	Site	Warehouse	Quantity	Unit	Unit price	Discount	Discount p...	Net amount	Product name
00001441	1	Z001		2	24	100.00	ea	23.00			2,300.00	Test Product1

This will take you directly to the created purchase order. Now this purchase order can be processed like any other purchase order. You will also notice that the purchase agreement unit price has flowed over from the purchase agreement.

Line number	Product number	Item number	Product name	Procurement category	Variant num...	Site	Warehouse	Quantity	Unit	Unit price	Ac
1	Z001	Z001	Test Product1			2	24	100.00	ea	23.00	0

Next, we will go through how to release lines from a purchase agreement directly from a purchase order instead of going through a purchase agreement. Typically, you wouldn't want a buyer to have to change their process of creating a purchase order, so this is usually the preferred method.

When you create a new purchase order you can link it to a purchase agreement by selecting the purchase agreement in the "Purchase agreement" field. Then you just need to add the items that apply to the purchase agreement and the prices will default from the purchase agreement as you would expect.

Purchase Agreement in D365 F&O

?

Create purchase order

General00001443 ^

PURCHASE ORDER

Purchase order

00001443

Purchase type

Purchase order

Invoice account

V000076

Name

General Supply Vend...

CURRENCY

Currency

USD

STORAGE DIMENSIONS

Site

2

Warehouse

24

DATES

Accounting date

7/29/2021

Delivery date

7/29/2021

REFERENCES

Project ID

Purchase agreement

Purcha... ↑ Vendor account ▾ Document title ⋮

000177 V000076

Orderer

Requester

Language

en-us

Activate change management

☐ No

OK

Cancel

Purchase Agreement in D365 F&O

Save + New Delete Purchase order Purchase Manage Receive Invoice Retail Warehouse Transportation General Options

Generate Bill Settle Journals
Invoice Pro forma invoice Prepayment invoice
Payment schedule Cash flow forecasts
Open transactions Invoice Pending invoices

Purchase order | Standard view

00001443 : V000076 - General Supply Vendor

Lines Header Open order Approved

Purchase order header

DELIVERY
Delivery date 7/29/2021
Earliest confirmed delivery

DISCOUNTS
Total discount % 0.00

REPLENISHMENT
Service category
Location

CROSS DOCKING DATES
Delivery date 7/29/2021
Cross docking date

Local delivery date
Sales date

PRODUCT/ORDER CREATION
Auto created No
Origin Purchase

Purchase order lines

Item number	Product name	Procurement category	Variant number	Warehouse	Inventory status	CW quantity	CW unit	Quantity	Unit	Unit price	Adjusted u...
Z001	Test Product1			24	Available			100.00	ea	23.00	0.00000

Line details

Purchase Agreement Fulfillment

Now that you have learned how to release orders against a purchase agreement. The next question you might ask is how do I track how much I have released, how much have I received, how much have I been invoiced for? In Dynamics 365 Finance and Operations there are a couple of way to see this. If you want to check the fulfillment of an individual purchase agreement you can do this by opening up the purchase agreement and clicking on the “Fulfillment” tab in the “Line details” fast tab. This will show you the breakdown of what all has been released, received, and invoiced. In our example we have released a quantity of 200.

Purchase Agreement in D365 F&O

The screenshot displays the 'Purchase agreement' form in Microsoft Dynamics 365 Finance & Operations. The form is titled '000177 : V000076 - General Supply Vendor'. The 'Fulfillment' tab is selected, showing the following fields:

Field	Value
Default commitment	Product quantity commitm...
Currency	USD
Effective date	7/27/2021
Expiration date	7/27/2022
Status	Effective

Purchase agreement lines

Item number	Item/Category name	Procurement category	Site	Warehouse	Quantity	Unit	CW quantity	CW unit	Net amount	Discount percent	Unit price
2001	Test Product1		2	24	1,000.00	ea			23,000.00	0.00	23.00

Line details

Field	Value
FULFILLMENT	
Remaining	800.00
Released	200.00
Received	0.00
Invoiced	0.00
CATCH WEIGHT	
Remaining	0
Released	0
Received	0
Invoiced	0
AGREEMENT	
Quantity	1,000.00
Unit	ea
CW quantity	
Amount	0.00
Currency	USD

If you want to see the fulfilment of all purchase agreements, you can run the “Purchase agreement fulfillment report” by navigating to Procurement and sourcing > Purchase agreement > Purchase agreement fulfillment report. Select the dimensions that apply to you and then click the “Ok” button to run the report.

Purchase Agreement in D365 F&O

?

Purchase agreement fulfillment report

Parameters

VIEW

Site

No

Warehouse

Yes

Style

No

Color

No

Version

No

Size

No

Configuration

No

Inventory profile

No

Destination

Change

Screen

Records to include

Run in the background

Recurrence

Alerts

Batch processing

No

Task description

Purchase agreement fulfillme...

Batch group

Private

No

OK

Cancel

Purchase Agreement in D365 F&O

Purchase agreement fulfillment report
Contoso Entertainment System USA

Page 1 of 1
7/29/2021
4:19 PM

V000076 - General Supply Vendor

Purchase agreement 000177 Blanket PO

Quantity agreement for products

Effective date:	7/27/2021	Expiration date:	7/27/2022			
Item number	Product name	Quantity Unit	Invoiced	Released	Received	Remaining
Z001	Test Product1	1,000.00 ea	0.00	200.00	0.00	800.00

Purchase Agreement in Master Planning

If you are using master planning, you may want MRP to consider purchase agreements when firming a planned purchase order into an actual purchase order. If you do, you can enable a parameter on the master planning parameters called “Find purchase agreements”. If this option is selected, D365 will look for an applicable purchase agreement based on the item and vendor at the time the planned purchase order is firming.

Purchase Agreement in D365 F&O

The screenshot shows the 'Master planning parameters' window in D365 F&O. The left sidebar has a 'Standard update' tab selected. The main area is titled 'Set up firmed planned order settings'. It contains three sections: 'FIRMING', 'FIRM - PURCHASE', and 'FIRM - TRANSFER'. In the 'FIRMING' section, the 'Update marking' dropdown is set to 'Standard', and the 'Stop firming if an error occurs' toggle is set to 'No'. In the 'FIRM - PURCHASE' section, the 'Group by vendor' toggle is set to 'Yes' and the 'Group by buyer group' toggle is set to 'No'. In the 'FIRM - TRANSFER' section, the 'Group by period' dropdown is set to 'No'. The 'Find purchase agreements' toggle in the 'FIRM - PURCHASE' section is highlighted with a red box and is set to 'Yes'.

Takeaways

Purchase agreements in D365 Finance and Operations can be very useful to set up and track contractual agreements between your company and vendors whom you promise to buy from. The ease of tracking these purchase agreements and the fact that it is integrated with master planning makes it very seamless to use in a purchase heavy organization. Take a look at the purchase agreement functionality and see if it can improve how you are tracking blanket orders or long term agreements.

Example

We are taking example of Non-Stocked item with value commitment in Purchase agreement

Purchase Agreement in D365 F&O

Standard view ▾

Create release order

Prepare the header of the release order in the upper section of this form. If the agreement has quantity commitments, you can prepare the lines for the release order in the lower section of this form. If the agreement has value commitments, you must enter such order lines after you have created the release order.

Address

DELIVERY ADDRESS

Name
Xtho

Address
Holtsville, NY 00501

Delivery address
Xtho

Display dimensions

Item number	Product name	Variant number	Purchase q...	Unit	CW purcha...	CW unit	Requested receipt ...	Configuration	Size	Color
Item number will come if we have Quantity commitment										

We didn't find anything to show here.

Create Cancel

Finance and Operations | Procurement and sourcing > Purchase agreements > Purchase agreements

① Create purchase order Automatic purchase creation Vendor account: 1003 Purchase order USMFPO-1153 has been created.

Save + New Delete Purchase agreement General Options

New Release order Maintain Activities Generate Confirmation Pro forma confirmation Intercompany Generate sales agreement View sales agreement Related information Purchase agreement confirmations Release order lines Invoice lines

This will be disabled until we add line in the PO

Purchase agreements | Standard view * ▾

PurAgreement-043 : 1003 - Ade Supply Company

Lines Header

Let us directly go to created purchase order and add the PO line

All purchase orders | Standard view * ▾

USMFPO-1153 : 1003 - Ade Supply Company

Open order In review

As line added in PO we can see release order at PA

Purchase order header

Purchase order lines

Product number	Item number	Product name	Procur...	Site	Warehouse	Quantity	Unit price	Adjusted u...	Discount	Discount p...	Net amount	Quantity
P-0000010	P-0000010	Installation Services	4	41			0.00000				100,000.00	

Taken same amount

Purchase agreements | Standard view * ▾

PurAgreement-043 : 1003 - Ade Supply Company

Lines Header

Purchase agreement lines

Item number	Item/Category name	Procurement cate...	Site	Warehouse	Quantity	Unit	Net amount	Discount p...
P-0000010	Installation Services	4	41				100,000.00	0.00

Purchase Agreement in D365 F&O

We could see the released qty at purchase agreement and zero Quantity as remaining

Purchase agreements | Standard view * ▾

PurAgreement-043 : 1003 - Ade Supply Company

Lines Header

Line details

General Price and discount **Fulfillment** Project Financial dimensions Product dimensions

FULFILLMENT	CATCH WEIGHT	AGREEMENT	CW quantity
Remaining 0.00	Remaining 0	Quantity	
Released 100,000.00	Released 0		Amount 100,000.00 CAD
Received 0.00	Received 0		
Invoiced 0.00	Invoiced 0		

What if we want to release more Qty

ⓘ Create purchase order Automatic purchase creation Vendor account: 1003 Purchase order USMFPO-1154 has been created.

Save + New Delete Purchase agreement General Options

New Maintain Generate Intercompany Related information

Release order Activities Confirmation Generate sales agreement Purchase agreement confirmations

Pro forma confirmation View sales agreement Release order lines Invoice lines

Purchase agreements | Standard view * ▾

PurAgreement-043 : 1003 - Ade Supply Company

As soon we add the line and amount system gives a message.

Net amount: 1,234.00

Save + New Delete Workflow Purchase order Purchase Manage Receive Invoice Retail Warehouse Transportation General Options

New Maintain Copy View Clean up Engineering change request

From a sales order Request change From all From journal Clean up purchase update history New engineering change request

Cancel From journal View engineering change requests

Do you want to remove the link to the purchase agreement line?

Yes No

Open order Draft

All purchase orders

Standard view * ▾

USMFPO-1154 : 1003 - Ade Supply Co

Lines Header

Purchase order header

Purchase order lines

+ Add line	+ Add lines	Add products	Remove	Purchase order line ▾	Financials ▾	Inventory ▾	Product and supply ▾	Update line ▾	Warehouse ▾	Engineering change ▾			
Product number	Item number	Product name	Procur...	Site	Warehouse	Quantity	Unit price	Adjusted u...	Discount	Discount p...	Net amount	Quality order status	Receive
P-0000010	P-0000010	Installation Services	4	41			0.00000				1,234.00		